Building Winning Algorithmic Trading Systems (Davey) — Fill-in-the-Blank Quiz — ANSWER KEY

Name: _____ Date: _____ Score: ____ / 30 questions (one underline = one missing word or short phrase)

Introduction & Chapters 1–3

1. In the Dec. 23, 2003 live cattle trade, three days locked limit down cost Davey $**5,400**, about **7** times his maximum expected loss.

2. Wiest's scale-trading book added a contract every **10** cents of decline, with a profit target **5** cents above entry.

3. In 2006 Davey's long copper trade (Feb. 17–May 1) earned $**28,875** per contract; **Michael Cook** finished second.

4. His contest system bought after a close at a **48**-bar high if the **30**-bar RSI was above 50.

Chapters 4–7

5. Out-of-sample data is typically the most recent **10** to **20** percent of the data.

6. Minimum net profit is $**5,000** per year per contract (prefer $**10,000**), with an average trade of at least $**50**.

7. Tharp Expectancy should exceed **0.1**, and commission is assumed at $**5** per round turn.

8. The Monte Carlo simulator runs **2,500** iterations; Davey accepts a median max drawdown up to **40** percent and return/drawdown above **2.0**.

Chapters 8–11

9. Pardo's "Evaluation and Optimization of Trading Strategies" (Wiley, **1992**) is the bible; Davey tests **100** to **200** ideas per keeper.

10. SMARTER adds the letters E and R: **Evaluate** and **Reevaluate**.

11. The example final goal: average **50** percent per year, max drawdown **30** percent, winning percentage **45** percent or higher.

12. The gold pit closed at **1:30** P.M. Eastern; the Sept. 18, 2013 Fed announcement came at **2:00** P.M.

13. In the back-adjusted euro example the gap added is **.0004**; the raw ratio 1.3500/1.3420 equals **1.00596**.

Chapters 12–15

14. The core system test uses **10** x **10** = 100 iterations, and wants **70** percent or more profitable.

15. Monkey tests use **8,000** runs each; a good strategy beats the monkey **9** times out of **10**.

16. In Table 12.1 the strategy had net profit $72,650, **430** trades, and was **40** percent long.

17. The ES walk-forward example used a **5**-year in-period, a **1**-year out-period, with **unanchored** windows.

18. Return on account = Net Profit / (Max **Drawdown** + Required **Margin**).

19. Linearity (R-squared): Euro night **0.9370**, Euro day **0.9745**, combined **0.9817**.

Chapters 16–20

20. At x = 0.32 (Vince's optimal f), risk of ruin was **21** percent; Davey's limits (45% drawdown, 10% ruin) gave x = **0.175**.

21. Euro day uses **60**-minute bars from 7 A.M. to **3** P.M. ET; euro night uses **105**-minute bars.

22. Combined Monte Carlo: return **176** percent, max drawdown **25.8** percent, return/drawdown **6.6**.

23. Profitable periods: weeks **59.6** percent, years **98.8** percent.

24. Quit point: worst drawdown $3,265 x 1.5 = $**4,898**; the Monte Carlo 95% level is $**5,082**; margin $2,750 makes the minimum account $**7,750**.

25. With ff = **0.175** and BigLoss $**885**, three contracts require equity of $**15,171**.

Chapters 21–25

26. Entering mid-trade with $300 open profit on a $500-target/$250-stop trade gives a reward-to-risk of **0.36** to 1.

27. Rollover: the **Quick** roll is most expensive, the **Leg in** roll cheapest, a difference of $**12.50**.

28. Typical return efficiency is **70** to **100** percent; drawdown efficiency is **1** minus actual/expected drawdown.

29. The uncanceled limit order filled at **5** A.M. Tuesday, cost about $**550** and was **7** percent of the account.

30. Pay Me Peter sold his system for $**2,500** outright, or $500 up front plus $**100** a month; his back test showed $**290** net profit.